

7-3a The Benevolent Social Planner

To evaluate market outcomes, we introduce into our analysis a new, hypothetical character called the benevolent social planner. The benevolent social planner is an all-knowing, all-powerful, well-intentioned dictator. The planner wants to maximize the economic well-being of everyone in society. What should this planner do? Should she just leave buyers and sellers at the equilibrium that they reach naturally on their own? Or can she increase economic well-being by altering the market outcome in some way?

To answer this question, the planner must first decide how to measure the economic well-being of a society. One possible measure is the sum of consumer and producer surplus, which we call *total surplus*. Consumer surplus is the benefit that buyers receive from participating in a market, and producer surplus is the benefit that sellers receive. Total surplus is thus a natural measure of society's economic well-being.

To better understand this measure of economic well-being, recall how we measure consumer and producer surplus. We define consumer surplus as

$$\text{Consumer surplus} = \text{Value to buyers} - \text{Amount paid by buyers}.$$

Similarly, we define producer surplus as

$$\text{Producer surplus} = \text{Amount received by sellers} - \text{Cost to sellers}.$$

When we add consumer and producer surplus together, we obtain

$$\begin{aligned} \text{Total surplus} &= (\text{Value to buyers} - \text{Amount paid by buyers}) \\ &\quad + (\text{Amount received by sellers} - \text{Cost to sellers}). \end{aligned}$$

Here, the amount paid by buyers equals the amount received by sellers, so the middle two terms in this expression cancel each other. As a result, we can write total surplus as

$$\text{Total surplus} = \text{Value to buyers} - \text{Cost to sellers}.$$

Total surplus in a market is the total value to buyers of the goods, as measured by their willingness to pay, minus the total cost to sellers of providing those goods.

If an allocation of resources maximizes total surplus, we say that the allocation exhibits **efficiency** (the property of a resource allocation of maximizing the total surplus received by all members of society).

. If an allocation is not efficient, then some of the potential gains from trade among buyers and sellers are not being realized. For example, an allocation is inefficient if a good is not being produced by the sellers with the lowest costs. In this case, moving production from a high-cost producer to a lower-cost producer will reduce the total cost to sellers and raise

total surplus. Similarly, an allocation is inefficient if a good is not being consumed by the buyers who value it most. In this case, moving consumption of the good from a buyer with a low valuation to a buyer with a higher valuation will raise total surplus.

In addition to efficiency, the social planner might also care about **equality**—that is, whether the various buyers and sellers in the market have similar levels of economic well-being. In essence, the gains from trade in a market are like a pie to be shared among the market participants. The question of efficiency concerns whether the pie is as big as possible. The question of equality concerns how the pie is sliced and distributed among members of society. In this chapter, we focus on efficiency as the social planner's goal. Keep in mind, however, that real policymakers often care about equality as well.

Chapter 7: Consumers, Producers, and the Efficiency of Markets: 7-3a The Benevolent Social Planner

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